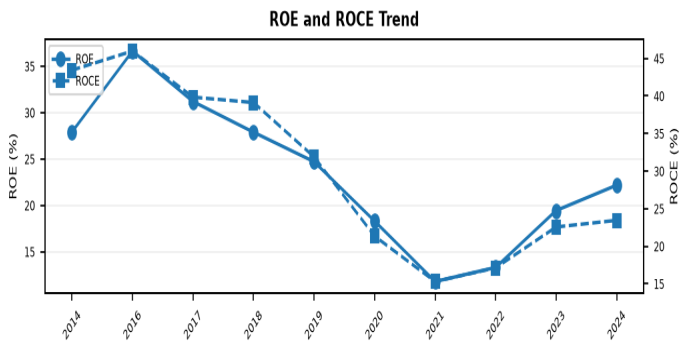
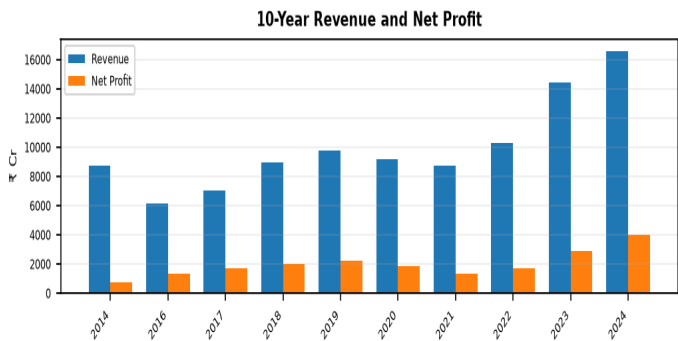


Eicher Motors Ltd

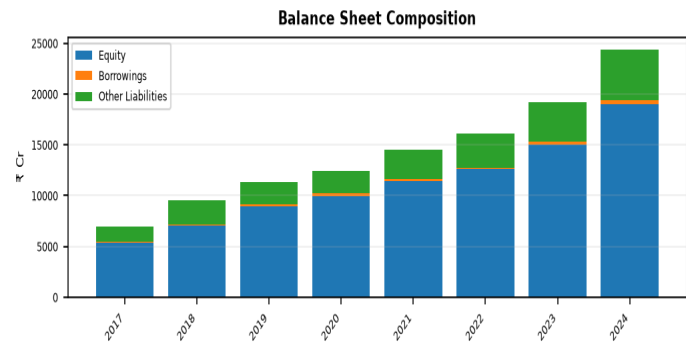
Nifty 100 Company Tearsheet | EICHERMOT

Consumer Discretionary | Eicher Motors Limited, incorporated in 1982, is the listed company of the Eicher Group in India and a leading player in the Indian automobile industry and the global leader in middleweight motorcycles. Eicher has a joint venture with Sweden's AB Volvo to create Volvo Eicher Commercial Vehicles Limited (VECV). VECV is engaged in truck and bus operations, auto components business, and technical

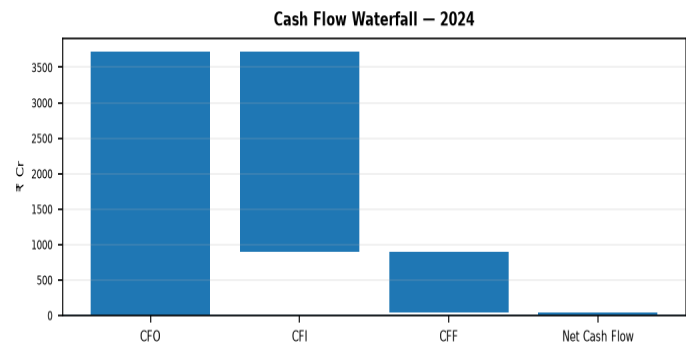
ROE	ROCE	Debt / Equity
22.2%	23.4%	0.02
Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
11.0%	12.7%	890 Cr



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Consistent dividend yield above 2% backed by positive free cash flow
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION: Reinvestor